聯詠科技股份有限公司
NOVATEK MICROELECTRONICS CORP.

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Novatek Announces 2022 Unaudited Consolidated Financial Result & 2023 First Quarter Outlook:

2022 Revenue & PAT Reached NT$109.96B & NT$27.97B Respectively With EPS of NT$45.96

Hsin-chu, Taiwan, ROC – February 7th, 2023 – Novatek (TSE:3034), a leading global Display IC total solution provider, today announced its unaudited consolidated financial result of 2022 and the first quarter outlook of 2023 at the analyst meeting.

Revenue, operating expense, and operating income of 2022 reached NT$109.96 billion, NT$18.21 billion, and NT$32.73 billion, representing year-over-year decrease of 18.77%, 7.17%, and 31.49% respectively. The gross profit margin of 2022 was 46.33%, down from 49.78% of 2021. Net income of 2022 decreased by 28.04% year-over-year to NT$27.97 billion, with earnings per share of NT$45.96.

The fourth quarter revenue increased by 14.60% quarter-over-quarter to NT$22.42 billion from NT$19.56 billion in Q3'22, and decreased by 38.65% year-over-year from NT$36.54 billion in Q4'21. The sequential revenue increase benefited from rush orders of large-sized DDIC and growth of smartphone OLED DDIC. Gross margin of 40.55% in 4Q22 decreased from 42.65% in 3Q22, due to part of higher historic costs and erosions of selling prices.

The fourth quarter operating expenses decreased quarter-over-quarter to NT$3.88 billion from NT$4.09 billion in Q3'22 and decreased year-over-year from NT$5.35 billion in Q4'21. Fourth quarter operating income increased quarter-over-quarter to NT$5.21 billion from NT$4.25 billion in Q3'22 and decreased year-over-year from NT$13.45 billion in Q4'21

Novatek's 2022 Q4 net income was NT$4.04 billion, which decreased quarter-over-quarter by 6.09% from NT$4.31 billion in Q3'22 and decreased year-over-year by 63.02% from NT$10.93 billion in Q4'21. Earnings per share for Q4'22 were NT$6.64, compared with NT$17.97 in Q4'21.

Management expects overall performance for the first quarter 2023:
Revenue is expected to be between NT$ 22.2billion and NT$ 23.2billion
Gross profit margin is expected to be between 37.5% and 39.5%
Operating profit margin is expected to be between 20% and 23%

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NOVATEK MICROELECTRONICS CORP.

Sales & Profits

Million NT dollars	4Q'22	QoQ	3Q'22	4Q'21	YoY
Net Sales	22,420	14.60%	19,564	36,542	-38.65%
Net Gross Profit	9,090	8.94%	8,344	18,801	-51.65%
(Margin %)	40.55	-2.1p	42.65	51.45	-10.9p
Operating Income	5,209	22.42%	4,255	13,449	-61.27%
Net Income	4,043	-6.09%	4,305	10,933	-63.02%
EPS (NT$)	6.64	-0.43	7.07	17.97	-11.33

Sales Breakdown by Product

Million NT dollars	4Q'22	QoQ	3Q'22	4Q'21	YoY
SoC	7,823	5.20%	7,436	10,738	-27.15%
Driver IC	14,601	19.63%	12,205	25,729	-43.25%
Total	22,424	14.17%	19,641	36,467	-38.51%

About Novatek

Novatek was established in 1997, specializing in display and image centered total solutions ranging from full line of display ICs and SoC for all display and image applications. The Company is the world's largest supplier of display driver ICs, and is ranked as the world 6th largest and Taiwan's 2nd largest fabless company in terms of sales revenue in 2021. For more information, please visit the company's web site at **www.novatek.com.tw.**

Novatek Microelectronics Corp.
Financial Report 2022 Q4



Issued in Feb 2023

Monthly Sales

MNT$

	2022	2021	+ (-) %
January	12,317	8,122	**52%**
February	11,725	8,715	**35%**
March	12,470	9,529	**31%**
April	12,320	11,084	**11%**
May	10,984	11,448	**-4%**
June	8,158	11,580	**-30%**
July	6,866	12,499	**-45%**
August	6,527	12,915	**-49%**
September	6,171	12,932	**-52%**
October	6,873	12,591	**-45%**
November	7,779	12,067	**-36%**
December	7,769	11,884	**-35%**
Total:	109,957	135,366	**-19%**

Monthly Sales

MNT$

	2023	2022	+ (-) %
January	7,223	12,317	**-41%**
February		11,725	
March		12,470	
April		12,320	
May		10,984	
June		8,158	
July		6,866	
August		6,527	
September		6,171	
October		6,873	
November		7,779	
December		7,769	
Total:	7,223	109,957	**-93%**
Jan.~Jan.	7,223	12,317	**-41%**

Sales Breakdown By Products

MNT$

Product	2022/Q4		2022/Q3		2022/Q2		2022/Q1		2021/Q4	
	AMT	%	AMT	%	AMT	%	AMT	%	AMT	%
SOC	7,823	35	7,436	38	10,555	34	11,467	31	10,738	29
DRIVER	14,601	65	12,205	62	21,171	67	25,061	69	25,729	70
Total:	22,424	100	19,641	100	31,725	101	36,528	100	36,467	100
OTHERS	98	0	32	0	73	0	22	0	97	0
Return & Allowance	(102)	(0)	(109)	(1)	(337)	(1)	(39)	(0)	(21)	(0)
Grand Total:	22,420	100	19,564	100	31,461	100	36,512	100	36,542	100
Growth	15%		-38%		-14%		0%		-5%	

Unaudited Consolidated Income Statement (YoY)

(Expressed In New Taiwan Thousand Dollars)

	2022/1-12	%	2021/1-12	%	Growth %
Net sales	109,956,674	100.00	135,365,510	100.00	**(18.77)**
Cost of good sold	(59,015,487)	(53.67)	(67,973,986)	(50.22)	(13.18)
Gross Profit	50,941,187	46.33	67,391,524	49.78	(24.41)
Operating Exp.	(18,212,356)	(16.56)	(19,618,414)	(14.49)	(7.17)
Selling & Adm.	(2,802,115)	(2.55)	(3,017,599)	(2.23)	(7.14)
R & D Exp.	(15,410,241)	(14.01)	(16,600,815)	(12.26)	(7.17)
Operating Income	32,728,831	29.77	47,773,110	35.29	(31.49)
Net Non-Operating	1,782,360	1.62	341,847	0.25	421.39
Income Before Tax	34,511,191	31.39	48,114,957	35.54	(28.27)
Income Tax Exp.	(6,541,669)	(5.95)	(9,249,397)	(6.83)	(29.27)
Net Income	27,969,522	25.44	38,865,560	28.71	**(28.04)**
EPS	**45.96**		**63.87**		



Unaudited Consolidated Income Statement (Q4 YoY)

(Expressed In New Taiwan Thousand Dollars)

	2022/Q4	%	2021/Q4	%	Growth %
Net sales	22,420,161	100.00	36,542,106	100.00	**(38.65)**
Cost of good sold	(13,329,806)	(59.45)	(17,741,142)	(48.55)	(24.87)
Gross Profit	9,090,355	40.55	18,800,964	51.45	(51.65)
Operating Exp.	(3,881,275)	(17.31)	(5,351,806)	(14.65)	(27.48)
Selling & Adm.	(630,226)	(2.81)	(748,857)	(2.05)	(15.84)
R & D Exp.	(3,251,049)	(14.50)	(4,602,949)	(12.60)	(29.37)
Operating Income	5,209,080	23.24	13,449,158	36.80	(61.27)
Net Non-Operating	(225,332)	(1.01)	141,577	0.39	(259.16)
Income Before Tax	4,983,748	22.23	13,590,735	37.19	(63.33)
Income Tax Exp.	(940,969)	(4.20)	(2,657,495)	(7.27)	(64.59)
Net Income	4,042,779	18.03	10,933,240	29.92	**(63.02)**
EPS	**6.64**		**17.97**		

Unaudited Consolidated Income Statement (QoQ)

(Expressed In New Taiwan Thousand Dollars)

	2022/Q4	%	2022/Q3	%	Growth %
Net sales	22,420,161	100.00	19,563,686	100.00	**14.60**
Cost of good sold	(13,329,806)	(59.45)	(11,219,393)	(57.35)	18.81
Gross Profit	9,090,355	40.55	8,344,293	42.65	8.94
Operating Exp.	(3,881,275)	(17.31)	(4,089,317)	(20.90)	(5.09)
Selling & Adm.	(630,226)	(2.81)	(613,163)	(3.13)	2.78
R & D Exp.	(3,251,049)	(14.50)	(3,476,154)	(17.77)	(6.48)
Operating Income	5,209,080	23.24	4,254,976	21.75	22.42
Net Non-Operating	(225,332)	(1.01)	1,010,780	5.16	(122.29)
Income Before Tax	4,983,748	22.23	5,265,756	26.91	(5.36)
Income Tax Exp.	(940,969)	(4.20)	(960,676)	(4.91)	(2.05)
Net Income	4,042,779	18.03	4,305,080	22.00	**(6.09)**
EPS	**6.64**		**7.07**		

Financial Numbers

(Expressed In New Taiwan Thousand Dollars)

	2022/12/31	2022/9/30	2022/6/30	2022/3/31	2021/12/31
Cash and Cash Equivalents	49,170,893	39,599,462	70,261,986	67,814,659	60,129,207
Short Term Loans	0	0	0	0	0
Net Cash	49,170,893	39,599,462	70,261,986	67,814,659	60,129,207
QoQ Change	9,571,431	(30,662,524)	2,447,327	7,685,452	22,964,317
Notes & Accounts receivable	15,764,511	13,971,711	21,408,187	23,925,686	23,571,509
QoQ Change	1,792,800	(7,436,476)	(2,517,499)	354,177	(3,512,743)
Inventory	12,028,871	17,179,972	18,836,561	16,336,425	14,186,415
QoQ Change	(5,151,101)	(1,656,589)	2,500,136	2,150,010	1,909,469